

THE WALL STREET JOURNAL.

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★★★★ \$5.00

DJIA Closed (42635.20)

NASDAQ Closed (19478.88)

STOXX 600 515.84 ▲ 0.4%

10-YR. TREAS. ▲ 3/32, yield 4.680%

OIL \$73.92 ▲ \$0.60

GOLD \$2,683.80 ▲ \$19.30

EURO \$1.0302

YEN 158.14

What's News

Business & Finance

◆ **A U.S. plan to curb** the global sale of advanced artificial-intelligence chips is pitting American tech companies against policymakers who are hawkish on China. **A1**

◆ **Excess capacity** among Chinese carmakers is driving the domestic market into a shakeout phase, or what XPeng's chief executive called "the elimination round." **A1**

◆ **U.S. mortgage rates** returned to their highest level since the summer, frustrating home buyers seeking a break from the steep cost of borrowing. **A2**

◆ **The yield on the** 10-year U.S. Treasury note edged lower, snapping a four-day run of gains that took it to its highest level since April. The stock market was closed. **B9**

◆ **UBS was set to pay** hundreds of millions of dollars to settle violations by Credit Suisse of an agreement with the Justice Department over American clients who evaded tax. **B1**

◆ **China's central bank** moved to defend the faltering yuan, saying it would sell in Hong Kong the equivalent of \$8.2 billion of six-month PBOC bills, a record amount. **B1**

◆ **Blackstone made a** \$300 million investment in DDN, a data-management-and-analytics company that supports the development of AI. **B1**

◆ **BlackRock withdrew** from a U.N.-sponsored climate initiative, a major U-turn for a company that was once a poster-child of the environmental, social and governance investing movement. **B9**

◆ **Airbus delivered** fewer planes than its roughly 770 target last year as supply-chain hurdles impeded production. **B3**

World- Wide

◆ **Wildfires raged** for the third straight day, destroying swaths of Los Angeles County, the most populous in the U.S., and displacing tens of thousands of residents as firefighters struggled to contain the blazes. **A1, A5**

◆ **The deadly fires** have destroyed or damaged tens of thousands of structures and could prove a big blow to a home-insurance market already mired in a crisis. **A1, A4**

◆ **The Supreme Court** refused to block Trump's criminal sentencing for covering up hush money paid to an adult-film star, clearing the way for an unprecedented court proceeding Friday. **A3**

◆ **Lebanon's Parliament** elected a U.S.-trained general as president, ending a two-year vacancy in a sign of Hezbollah's waning influence in the country. **A8**

◆ **Venezuelan opposition** leader Maria Corina Machado was briefly detained by the regime of President Nicolás Maduro after she emerged from hiding to rally the opposition against his planned inauguration to a third six-year term. **A16**

◆ **Ukrainian President** Volodymyr Zelensky and U.S. Defense Secretary Lloyd Austin used their final meeting to press the incoming Trump administration not to give up on Kyiv's fight. **A16**

◆ **Critics called Biden's** decision to accuse a Sudanese paramilitary group of genocide in the final days of his administration a case of too little too late. **A16**

◆ **Elon Musk said** \$2 trillion in cuts to federal spending to be identified by a proposed advisory panel he will co-direct is a "best-case outcome." **A6**

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Wildfires in Los Angeles Rage On



A firefighter battled the Palisades Fire in Malibu, Calif., on Thursday. The wildfires have destroyed thousands of structures.

More than 10,000 structures have burned; officials fear death toll will rise

LOS ANGELES—Wildfires raged for the third straight day, destroying swaths of the U.S.'s most populated county and displacing tens of thousands of residents, with firefighters struggling to contain the blazes.

By Jennifer Calfas, Gareth Vipers and Meghan Bobrowsky

At least five infernos were simultaneously burning Thursday around Los Angeles, engulfing entire neighborhoods, destroying more than 10,000 structures and upending daily life in a historic disaster.

Five people were confirmed dead, but officials said that number was likely to increase in the coming days.

"The obvious question is, do you think it's going to grow?" Los Angeles County Sheriff Robert Luna said Thursday evening. "I am praying it doesn't, but based on the devastation—it looks like an atomic bomb dropped in these areas—I'm not expecting good news."

Economic losses from the blazes have been estimated at tens of billions of dollars. Roughly 33,000 acres were aflame and more than 200,000 without power across the wider Los Angeles area. More

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◆ **Urban-area blazes release hazardous gases..... A5**
◆ **Thousands search for interim housing..... A5**

California Insurance Crisis Deepens As Infernos Wreak Record Damage

By JEAN EAGLESHAM AND JOE FLINT

LOS ANGELES—Nick Ramirez hunched over a screen in his Los Angeles insurance agency, watching a map tracking the raging wildfires engulfing clients' properties.

"Hayley—gone. Oliver, his home also went down," he said, pointing to small dots in a fast-expanding sea of red.

"I've been in the insurance business almost 10 years and this is the worst that I've ever seen it," said Ramirez, an agent with Goosehead Insurance. "We are in uncharted territory."

The economic toll of the deadly California fires, which have already destroyed or damaged tens of thousands of structures, could prove a serious blow to a home-insurance market already in a crisis.

Insurance-industry officials warned of widespread economic damage on par with some of the biggest fire disasters in recent memory, potentially eclipsing the devastation of the 2023 Maui inferno.

The destruction of high-value homes in the path of the rapidly burning Palisades Fire, some of the most expensive in the U.S., will "likely result in one of the top five costliest

wildfires in U.S. history," broker Aon said. Insured losses from the fires are estimated to top \$8 billion, rating firm Morningstar DBRS said Thursday.

California is the biggest home-insurance market in the U.S. but also one of the toughest for companies to navigate. The state accounted for eight of the 10 costliest U.S. wild-

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Carter's Legacy Honored

The casket of ex-President Jimmy Carter is carried from Washington National Cathedral after his state funeral, which was attended by the nation's five living presidents, including Biden, who delivered a eulogy. **A3**



Tech Giants Blast Plan to Set Limits On Sale of AI Chips

By LIZA LIN AND ALEXANDER WARD

Tension between national-security hawks and the biggest U.S. technology companies over China policy has burst out into the open.

The trigger: a Biden administration plan to limit the global sale of advanced artificial-intelligence chips. It seeks to ensure the U.S. keeps control over the future of AI by blocking Beijing from accessing AI technology through third countries.

The plan drops the "mother of all regulations" and "does more to achieve extreme regulatory overreach than protect U.S. interests," said an Oracle executive vice president, Ken Glueck, in a blog post. On the other side, a Republican-led House committee urged the administration to go through with

tough curbs, calling it a "once-in-a-generation moment" to block Beijing's ambitions.

The battle lines in this clash—a Democratic president and leading Republicans squaring off together against a major U.S. industry—are unusual enough.

Just as unusual is the timing, coming in the final days of the Biden presidency. Opponents of the new restrictions said a lame-duck government shouldn't be making sweeping policy moves.

But unlike some other areas such as oil drilling, this isn't a case of President Biden trying to thwart his successor with last-minute decisions promoting Democratic priorities. Many in the camp of President-elect Donald Trump, a Republican, are just as hawkish on China, and the battle by

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China's Auto Glut Tests Carmakers

By CLARENCE LEONG

Excess capacity among carmakers in China is driving the world's largest auto market into a shakeout phase.

Overall, car sales in China rose 5.5% last year to 22.9 million vehicles, the China Passenger Car Association said Thursday. Yet that demand is far short of the capacity com-

panies have built up, leading them to cut prices and push into overseas markets to stay in the game.

"The period from 2025 to 2027 marks the elimination round in the automotive industry," wrote He Xiaopeng, the chief executive of electric-vehicle maker XPeng, in an internal letter dated Dec. 31 that was seen by The Wall Street Jour-

nal. "Competition in 2025 will be fiercer than ever."

Among the early losers are foreign brands. General Motors, Volkswagen and Toyota have been bleeding market share to homegrown rivals. Domestic brands accounted for 61% of the local market last year, up 8.6 percentage points from a year earlier, the China

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The Unwitting Environmentalists Fighting Poachers: Vultures

Outfitted with tracking devices, birds help researchers and park rangers in Uganda

By MICHAEL M. PHILLIPS AND NICHOLAS BARIYO

MURCHISON FALLS NATIONAL PARK, Uganda—It's all about picking the right vulture for the job.

The African white-backed is a reliable homebody. Bald-headed, stern-eyed, a white-backed can be counted on to circle the vast savannahs of Murchison Falls National Park wearing a high-tech tracking device that alerts Ugandan rangers to poaching incidents.

The Rüppell's griffon vulture, though also bald and stern, is another story. Even if it doesn't peck your eye out while you're strapping the tracker to its back, more likely than not it will immediately depart Ugandan airspace and disappear into Congo, Sudan or even Chad.

"They're finding better carcasses there," surmises Charles Tumwesigye, the Uganda Wildlife Authority's deputy director for field operations. "They're not interested in our problems."

Such are the challenges of a new effort to fight illegal hunting in East Africa by literally harnessing artificial intelligence to a bird whose natural intelligence tells it to spend all day, every day, scanning for dead animals.

The vulture project is helping bring Murchison Falls back from the brink after decades of rampant poaching of elephants, hippos, Cape buffalo and other wildlife. The AI-infused trackers give rangers real-time information about how the vultures are behaving—making a quick snack, for

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INSIDE



JASON GAY

Who doesn't love the once-forsorn Lions, now charging into the NFL playoffs? **A12**



MANSSION

A look at Hawaii's priciest ZIP Code—and the properties for sale there. **M1**

Agentforce can help thousands of shoppers with spot-on style recos. Every second.

Agentforce What AI Was Meant to Be